

INTERCOMPANY ACCOUNTING AUDIT PROGRAM #10-30-00

The release of this audit program to parties external to IBM requires the written approval of the Chief Auditor.

This program is intended as a guide for assessing risk management in this process through the performance of an audit or a similar engagement. Risk management is the process to identify, manage, and control potential events in order to provide reasonable assurance related to the achievement of IBM's business and control objectives. IBM's control objectives fall into five broad categories:

1. compliance with external laws and regulations, as well as IBM policies and procedures
2. accomplishment of business objectives
3. reliable information for financial reporting and decision making
4. efficient operations, and
5. safeguarding both intellectual and physical assets.

The control assessment questions are intended to address process objectives from the categories above and the risks to achieving those objectives. Objectives and risks in the actual process under review may differ based on organizational, operational, regulatory, and economic factors. As such, individuals performing the engagement must formulate a test strategy based on risks relative to the actual process under review, regardless of whether the risks are identified within this program.

DATE CHANGED	SECTION #	SUBTITLE IN SECTION	CHANGED BY (NAME)	COMMENTS
December 2025	PLANNING	Audit Program Risk Alignment	Nicolas Garcia Paura	Removed "cybersecurity" from defined risk area
September 2025	PLANNING	Audit Program Risk Alignment	CA&AS Ops	Changes to audit risk levels from recent revalidation
February 2025	PLANNING: Reference Material. References	PLANNING: Reference Material	Nicolas Garcia Paura	Links update to new version.
December 2023	Control Assessment Questions / 2. Intercompany Transactions	Accounting Controls (IT002.P)	Andrea Lippi	Added optional test: Labor and/or employee concur expense costs
February 2023	All	All	CA&AS	Converted from Notes into a Word document and into a Box folder

INTERCOMPANY ACCOUNTING

AUDIT PROGRAM #10-30-00

Table of Contents

PLANNING: Reference Material	1
PLANNING: Reference Material	1
PROCESS AND OBJECTIVE	3
PLANNING: Audit Program Risk Alignment.....	4
PLANNING: Data Analysis.....	5
PLANNING: Reference Material	7
PLANNING: Fraud Template	8
CONTROL ASSESSMENT QUESTIONS	9
Key Control Question: 1. Document of Understanding	9
Primary Test: Document of Understanding (DO001.P).....	10
Key Control Question: 2. Intercompany Transactions	11
Primary Test: Intercompany Reconciliations (IT001.P).....	12
Primary Test: Accounting Controls (IT002.P)	13
Optional Test: Labor and/or employee concur expense costs	15
Key Control Question: 3. Accounting Controls and Measurements	16
Primary Test: Accounting Controls and Measurements (CA001.P)	17
Key Control Question: 4. Intercompany Agreements.....	19
Primary Test: Processing Charges Against Intercompany Agreements (IA001.P)	20
Primary Test: Settlement of Intercompany Charges (IA002.P)	21
Primary Test: Intercompany Agreement Controls (IA003.P)	22
Key Control Question: 5. Intercompany Float	23
Primary Test: Intercompany Float (IF001.P)	24
Key Control Question: 6. Separation of Duties (SOD).....	25
Primary Test: Separation of Duties (SD001.P)	26

INTERCOMPANY ACCOUNTING

AUDIT PROGRAM #10-30-00

PROCESS AND OBJECTIVE

CIAS (Common Intercompany Accounting System) is IBM's World-wide common system for the intercompany accounting process. In some countries it has been replaced by iERP (SAP) system.

The intercompany accounting process reflects IBM's international structure as a multinational company in which the individual countries world-wide act as trading partners, exporting and importing goods and services, with an InterCompany Agreement (ICA) which acts as a contract and quasi-legal document for the services transactions, according to Intercompany Tax guidelines.

CIAS is an accounting control system which takes automatic actions to maintain country accounts. CIAS/iERP supports the accounting activity related to "purchase orders" between IBM companies, generates billings for services transactions, and has an Accounts Payable / Accounts Receivable system for invoice payment.

CIAS/iERP work together with Global Logistics' distribution import and export systems to match the financial transactions with the physical movement of goods and money to ensure that each pair of trading countries are recording the same things in their accounts at the end of each month.

The principal strategic interfaces are upstream to IDDE (distribution) for goods and BMS for services transactions. ICA and ISB are feeds for ICA activities and billings against those ICA's and downstream to the ledgers (CLS/FDW).

INTERCOMPANY ACCOUNTING AUDIT PROGRAM #10-30-00

PLANNING: Audit Program Risk Alignment

Intercompany Accounting

Defined Risk Area	Audit Risk Level	Key Control Question	Test Number
Standard General/Ledger Accounting Controls (Accruals, Journals, Reconciliations, Reporting)	Medium	Accounting Controls and Measurements Intercompany Transactions	CA001.P IT002.P
Intercompany Import Reconciliation (Accounts Payable/Accounts Receivable and Cash Transaction Matching)	Medium	Intercompany Transactions	IT001.P
Intercompany Payables and Receivables	Medium	Accounting Controls and Measurements	CA001.P
Intercompany Settlements (Cash Payment/Cash Receipt)	Medium	Intercompany Agreements	IA002.P
Intercompany Agreements	Low	Intercompany Agreements Intercompany Transactions	IA001.P, IA002.P, IA003.P IT002.P
Internal Measurement Reporting and Key Controls over Financial Reporting Testing	Low	Accounting Controls and Measurements	CA001.P
Separation of Duties	Low	Intercompany Transactions	IT002.P
Data Protection	Low	Data Privacy (Key Control Question 4, Data Integrity - IT Enterprise Applications Program 43-10-00)	DI004.P

INTERCOMPANY ACCOUNTING AUDIT PROGRAM #10-30-00

PLANNING: Data Analysis

Data analysis should be a part of every engagement where data is available in databases or data warehouses that can be accessed through query programs. This concept enhances the risk-based auditing approach, makes the audit process more efficient, and increases the productivity of the audit team. When the audit team does not have the skills required to perform these tasks, assistance should be sought from the Technology team.

All data used for analysis must be reconciled to an independent source so that the auditor has confidence that the universe is complete.

The [Data Analysis engagement procedures in the Audit Manual](#) (link internal to CA&AS members only) provide further suggestions.

This table shows what data can be reviewed and analysis techniques.

Data to be Analyzed	Analysis to be Performed	Possible Anomalies	Concern
Key Indicator Reports Ask for all key indicator reports for each individual country during the audit period.	Look at all indicators above the allowable clip levels (90 days, item numbers, dollar amounts) and review the action plans. Perform Month to Month analysis on outstanding items to validate the necessary action plans are being taken to resolve issues.	Action plans and target dates are not accurate or complete. Month to Month analysis shows same target date and action plan for outstanding item.	There is no clear visibility to the real root cause. Management is not involved/overseeing issues that need to be addressed and fixed.
Account Reconciliations Ask for listing of all accounts and how they are reconciled (Blackline or outside of a tool). Request access to Blackline if applicable, or have client provide reconciliations for the audit period.	Perform analysis based on variance and content aging items, operational and variance balances, the timing reconciliations were performed, and look at the same reconciliations month to month or quarter to quarter (per reconciliation frequency)	Operational balances are not supported by valid back-up documentation Variance items are not properly aged month to month or quarter to quarter (per reconciliation frequency)	Unidentified activity could be occurring in accounts Variance items not aged appropriately could lead to misappropriate KI data Lack of sufficient documentation to explain and resolve variances could lead to financial misstatements

INTERCOMPANY ACCOUNTING AUDIT PROGRAM #10-30-00

PLANNING: Data Analysis (Continued)

Data to be Analyzed	Analysis to be Performed	Possible Anomalies	Concern
Accruals/Journal Ask IT team to pull a list of all journal entries based on account code/information provided in the IDR.	Look at the dollar amount of the entries (above or below clip levels). The type/description of entry being booked. The accounts the entry is affecting. The period of the transactions (in regard to month/quarter close). The frequency of the entries.	Reoccurring amounts just below clip levels. Description of entry not correlating with the accounts being affected. Increase in entries to clear amounts at month and quarter end. Unfamiliar ledger accounts being utilized "Correct Entries" (journal booked than reversed).	Insufficient reason for entry, pushing through entries to balance accounts, affecting KI data and financial information. Multiple journals booked for the same accrual or miscode leading to over/under stating financial information. Original journal was not authorized or had a valid business justification, so correction entry was made to back out previous entry. Incorrect ledger account utilized; misstating financial information.

INTERCOMPANY ACCOUNTING AUDIT PROGRAM #10-30-00

PLANNING: Reference Material

Intercompany Accounting Homepage <https://w3.ibm.com/w3publisher/ica-bratislava>

Finance Corporate Instructions – <https://w3.ibm.com/ibm/corporate-documents/>

FIN 140 Intercompany transactions

[https://w3-](https://w3-03.ibm.com/ibm/documents/corpdocweb.nsf/ContentDocsByTitle/Corporate+Instruction+FIN+140)

[03.ibm.com/ibm/documents/corpdocweb.nsf/ContentDocsByTitle/Corporate+Instruction+FIN+140](https://w3-03.ibm.com/ibm/documents/corpdocweb.nsf/ContentDocsByTitle/Corporate+Instruction+FIN+140)

FIN 141 Settlement of Intercompany charges

[https://w3-](https://w3-03.ibm.com/ibm/documents/corpdocweb.nsf/ContentDocsByTitle/Corporate+Instruction+FIN+141)

[03.ibm.com/ibm/documents/corpdocweb.nsf/ContentDocsByTitle/Corporate+Instruction+FIN+141](https://w3-03.ibm.com/ibm/documents/corpdocweb.nsf/ContentDocsByTitle/Corporate+Instruction+FIN+141)

FIN 142 Intercompany charges arising from the sale of hardware and/or licensing of software in one country with installation or use in another

[https://w3-](https://w3-03.ibm.com/ibm/documents/corpdocweb.nsf/ContentDocsByTitle/Corporate+Instruction+FIN+142)

[03.ibm.com/ibm/documents/corpdocweb.nsf/ContentDocsByTitle/Corporate+Instruction+FIN+142](https://w3-03.ibm.com/ibm/documents/corpdocweb.nsf/ContentDocsByTitle/Corporate+Instruction+FIN+142)

FIN 143 Intercompany Royalty Agreements

[https://w3-](https://w3-03.ibm.com/ibm/documents/corpdocweb.nsf/ContentDocsByTitle/Corporate+Instruction+FIN+143)

[03.ibm.com/ibm/documents/corpdocweb.nsf/ContentDocsByTitle/Corporate+Instruction+FIN+143](https://w3-03.ibm.com/ibm/documents/corpdocweb.nsf/ContentDocsByTitle/Corporate+Instruction+FIN+143)

FIN 182 Appendix C – Separation of Duties

<https://w3.ibm.com/w3publisher/financebc/ibm-framework/ci-fin-182-appendix-c>

ICPB - Intercompany Process Bulletins: <https://ibm.ent.box.com/v/intercompanyprocessbulletins>

ISB Tool - Intercompany Service Billing: <https://w3-01.ibm.com/tools/forms/isb/index.jsp>

Applications and Tools: <https://w3.ibm.com/w3publisher/ica-bratislava/system-status>

ICA tool: <https://w3.ibm.com/w3publisher/ica-bratislava/system-status/ica-tool>

ISB tool: <https://w3.ibm.com/w3publisher/ica-bratislava/system-status/isb-tool>

CIAS subledger system: <https://w3.ibm.com/w3publisher/ica-bratislava/system-status/cias-subledger-system>

Worldwide Divisional Segmentation Rules

<https://w3.ibm.com/w3publisher/wca/consolidation-accounting-process/ww-divisional-segmentation-rules>

ICA Homepage

<https://w3.ibm.com/w3publisher/ica-bratislava/our-instructions/ica-guidance>

Worldwide Service Accrual Guidelines

<https://w3.ibm.com/w3publisher/ica-bratislava/our-instructions/accrual-guidelines>

iERP Finance - intercompany

<https://w3.ibm.com/w3publisher/ic2ierp-moving-intercompany-to-ierp/ierp-vs-cias-key-differences/ierp-intercompany-portal>

GDPR - General Data Protection Regulations: <https://w3.ibm.com/ibm/privacy/gdpr>

INTERCOMPANY ACCOUNTING AUDIT PROGRAM #10-30-00

PLANNING: Fraud Template

Fraud is any intentional act or omission designed to deceive others and resulting in the victim suffering a loss and/or the perpetrator achieving a gain. Fraud can be categorized into fraudulent financial reporting, misappropriation of assets, and improper or unauthorized expenditures.

Description of Fraud Risk	Typical Controls that should Detect the Fraud Risk	Testing Approach
Falsifying Financial Information	Separation of Duties Assessment	• Review separation of duties assessment to validate: • The end-to-end process is reviewed annually by management. • Assessments are kept current and are updated when organization, staffing assignments, process or system changes occur that significantly impact the SOD assessment. • The approach to separating duties, whether by process design, system controls, organizational structure, or other means is established and maintained on an on-going basis. • Identified conflicts are assessed for SOD risk and mitigating controls are implemented effectively to separate conflicting tasks.

Note: The probability and impact will vary depending on the organization/business unit that is being audited.

INTERCOMPANY ACCOUNTING AUDIT PROGRAM #10-30-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Document of Understanding

Objective:

To ensure that the appropriate Intercompany agreements or other formal ordering arrangements are in place allowing for correct recognition of Intercompany revenue and expenses.

Risk/Exposure:

Failure to establish a clearly defined and agreed Document of Understanding (DOU) could result in customer dissatisfaction and unowned process executions.

INTERCOMPANY ACCOUNTING

AUDIT PROGRAM #10-30-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Document of Understanding

Primary Test: Document of Understanding (DO001.P)

Objective:

To ensure that the appropriate contracts are in place allowing for correct recognition of Intercompany revenue and expenses.

Approach:

- Review the Statement of Works (SOW) within IBM Accounting Bratislava Center. Review for signatures, dates, completeness, and appropriateness. Test whether the agreement is missing critical tasks or is outdated.
- Is the contractual relationship correctly developed, validated, and maintained in compliance with IBM business practices guidelines, and concluded in accordance with contractual terms and conditions?
- Review the responsibilities assigned in the areas of goods, services, disputed payments, and reports to the countries.
- If applicable, determine if all relationships with other organizations have a contractual document.

INTERCOMPANY ACCOUNTING

AUDIT PROGRAM #10-30-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Intercompany Transactions

Objective:

To determine if:

- Intercompany accounts are properly reconciled and that transactions are recorded in accordance with GAAP and accounting instructions.
- Accruals and provisions provide the proper valuation of assets, liabilities, income, and expense for the accounting period and assure adequate control was exercised for any charges made during the reporting process. (Note: Valuation of assets/liabilities is not determined by Intercompany accounting.)
- All adjustments (netting, write-offs) are processed with the proper level of authorization and are consistent with IBM policies and practices.
- Controls are in place to ensure miscodes are properly reviewed and approved for processing in the ledger.
- Proper separation of duties exists so that no one individual can control activities within a process in a way that would result in the misuse or diversion of company funds without detection.
- There are adequate controls to protect against unauthorized and/or inappropriate CIAS entries.
- Effective controls exist that assure all information passed from feeder systems to the Intercompany Accounting System (CIAS), and further to the ledger system CLS FDW/iERP, and that any exceptions are highlighted and properly resolved. (Also could be looked at in an application audit. Review prior audits to avoid duplication of work).
- Accruals are processed timely, particularly at year end.
- Settlements of Interco charges are made accurately and on a timely basis.

Risk/Exposure:

Reconciliations performed correctly and on time, are the primary control to identify any differences between the general ledger and the systems which feed it. Unresolved differences could lead to a misstatement of the company's financial position.

Failure to maintain adequate separation of duties could allow individuals to manipulate accounting records and mask any irregularities from other systems which feed the ledger.

Ineffective journal entry control may enable employees to conceal irregular or clear reconciling items from account analysis by writing them off or otherwise disguising the real nature of the activity.

INTERCOMPANY ACCOUNTING

AUDIT PROGRAM #10-30-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Intercompany Transactions

Primary Test: Intercompany Reconciliations (IT001.P)

Objective:

To ensure Intercompany accounts are properly reconciled and that transactions are recorded in accordance with GAAP and accounting instructions.

Approach:

- Review default accounts (goods and services) to identify aged charges in the balance sheet to ensure costs and revenues are not being charged to the profit and loss account and may be recognized in the wrong accounting period.
- Review suspense and control accounts to ensure entries are analyzed and reconciled and that aged items are documented as required.
- Review unallocated cash.

Select a sample (highest balances) of Intercompany accounts and transactions, import and exports, and determine whether:

- Intercompany import/export balances were agreed with the related company.
- Transactions were properly recorded in the ledger.
- Reconciliations to country level had been performed on a monthly/quarterly basis, including auxiliaries, and accounts payable/receivables reconciled in both currencies.
- Transcripts of monthly import/export transactions were being received and dispatched promptly.
- Age and trend of open items were reasonable.
- Aged items were accurately reflected in the key indicators and an action plan was in place.

INTERCOMPANY ACCOUNTING

AUDIT PROGRAM #10-30-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Intercompany Transactions

Primary Test: Accounting Controls (IT002.P)

Objective:

There are six areas of control that require review. These are:

1. Ensure that the accruals and provisions provide the proper valuation of assets, liabilities, income and expense for the accounting period and assure adequate control was exercised for any charges made during the reporting process. (Note: Valuation of assets/liabilities is not determined by Intercompany accounting.)
2. Verify if all adjustments (netting, write-offs) are processed with the proper level of authorization and are consistent with IBM policies and practices.
3. Validate there are controls in place to ensure miscodes are properly reviewed and approved for processing in the ledger.
4. Ensure proper separation of duties exists so that no one individual can control activities within a process in a way that would result in the misuse or diversion of company funds without detection.
5. Determine whether there are adequate controls to protect against unauthorized and/or inappropriate CIAS entries.
6. Validate the effectiveness of controls that assure all information passed from feeder systems to the Intercompany Accounting System (CIAS), and further to the ledger system CLS FDW/iERP, and that any exceptions are highlighted and properly resolved. (This testing should be coordinated with the application review to avoid duplicate testing).

Approach:

Determine the following:

Were accrual/provision accounts properly supported and formally documented? Determine if accruals were reversed in the following accounting period and actual revenue, costs, or expenses were recorded as incurred.

- Select a random sample of netting and/or write-offs processed during the previous year to determine if they were properly supported and approved.
 - Write-off performed on Billed not Received
 - Netting activities
- Miscode correction process:
 - Does the system provide a control report for all miscode corrections?
 - Does the system provide a facility for deleting miscodes which have not been corrected?

Review the responsibilities assigned in the areas of accounting, cash, accounts receivable, billing, accounts payable, and payroll for possible separation of duties exposures.

Based on system access control reports, develop a matrix to show all employees involved in the above processes and their related responsibilities (including 'back up' responsibility). Any individual with capabilities which would allow them to circumvent preventive and detective controls in the processes should be identified and included in test samples.

- Are there procedures for limiting the number of personnel that can make entries by source and/or account? Is there sound separation of duties?

INTERCOMPANY ACCOUNTING

AUDIT PROGRAM #10-30-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Intercompany Transactions

Primary Test: Accounting Controls (IT002.P)

(Continued)

- Are there clear audit trails for on-line entries, including information regarding the originators of the entries? Is the assignment of analysis codes or some other method of identifying the input source (accountability source) controlled by the journal system? Is ownership of each analysis code clearly documented? Can the audit trail (analysis code) be overridden by the accountant, thus negating its usefulness as a control point?
- Does the system require all sources which received manual and on-line journal entries to balance? If not, are there adequate alternate controls to ensure that all manual entries to the ledger balance?
- Does the process include management visibility to all journal entries on a post-facto basis to ensure that all entries are being reviewed and approved by management on a timely basis? Is there a sequential control system for journal entries?
- Are there input/output controls for the processing of manual entries?
- Select a sample of accounting journal entries and test for:
 - Entries coded to the correct account.
 - Entries supported with clear and appropriate documentation.
 - Entries processed in a timely manner.
 - Entries approved by management.
 - Entries in accordance with accounting instructions.
- Review the process for ensuring upstream/downstream interfaces plus manual entries are processed on a regular and timely basis and processed in time for period-end closing, following the cut-off dates instructions.
- Review the processes, and actions, for any variances that were identified during the above reviews.

INTERCOMPANY ACCOUNTING AUDIT PROGRAM #10-30-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Intercompany Transactions

Primary Test: Accounting Controls (IT002.P)

(Continued)

Optional Test: Labor and/or employee concur expense costs

Objective:

To ensure that employee costs were recognized in accordance with generally accepted accounting principles and IBM practices.

Missing or late labor and/or employee concur expense information items may not be aligned between the BMS and ledger interface. The financial records (costs) will not be booked accordingly. If the items are not cleared in the interface, financial reporting of those related account IDs will be incorrect, resulting in incorrect cost, too high profitability, and incorrect incentives due to employees.

Approach:

This is a self-serve evaluation performed by the Technology team, possible to be ran based on country/brand.

For more accurate information, include the contract number, account ID, and the organization (brand) when submitting the data analysis request to the Technology Team. This will allow better alignment to the database where the records are stored.

The information can be requested during IDR analysis and could provide valuable information for contract sampling for testing.

INTERCOMPANY ACCOUNTING AUDIT PROGRAM #10-30-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Accounting Controls and Measurements

Objective:

To determine if a complete set of measurements exists to properly reflect overall status and exception conditions. Key Indicators (KIs) support process owners in understanding control requirements and business risks, and for the most part the indicators are extracts of electronically stored data and relate directly to primary control questions in the risk-based auditing program. The success criteria for each indicator should be reviewed and the actual results understood and checked for accuracy.

Risk/Exposure:

Ineffective, inaccurate and/or incomplete process measurements could mask process deficiencies which remain unreported or incorrectly to management.

INTERCOMPANY ACCOUNTING

AUDIT PROGRAM #10-30-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Accounting Controls and Measurements

Primary Test: Accounting Controls and Measurements (CA001.P)

Objective:

To determine if a complete set of measurements exists to properly reflect overall status and exception conditions.

Approach:

Review the key indicators defined in the Key Indicator (KI) Measurement Charts. Determine if performance was being measured against the objectives and if these measurements provide adequate and timely visibility to areas which require management involvement. Validate the mentioned measurements.

The main objective of this KI item is to enhance the overall effectiveness of the controls of the Intercompany accounting process.

There are 11 KI items to be assessed as follows:

Monthly

- Import Recs > 90 days
- Book but not Received (BNR) > 90 days
- Accounts Receivable > 90 days
- Accounts Payable > 90 days
- ICA Bypasses
- Miscodes

Frequency as per the Balance Sheet reconciliation guidelines

- Goods Subledger to Ledger items > 90 days
- Services Subledger to Ledger items > 90 days
- Clearing and Deferred accounts items > 90 days

As part of the monthly consolidation process (WCA Float Variances Report)

- Services net float
- Goods net float

These KIs are defined by items and US dollar amount: Export good hold, ITH (Invoice Transaction Handler) goods hold, Import Recs, Export Services Pend, Import Services Pend, Book but not Received (BNR), Accounts Receivable, Accounts Payable, Unallocated Cash (UAC), Goods Subledger to Ledger items, Services Subledger to Ledger items, Clearing and Deferred accounts items.

These KIs are defined monthly item numbers: ICA Bypasses and miscodes.

These KIs are defined monthly by dollar amounts: Services net float and goods net float.

INTERCOMPANY ACCOUNTING

AUDIT PROGRAM #10-30-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Accounting Controls and Measurements

Primary Test: Accounting Controls and Measurements (CA001.P)

(Continued)

Key Definitions:

BNR: Goods invoices are booked on exporter's side but not booked on the importer's side. This occurs when goods have not received, goods are stuck in local customs, etc.

CASH IN TRANSIT - Cash receipt is recorded by the exporting country's treasury. Subledger (and the ledger) should be updated by Intercompany Accountant (IAC) according to the cash receipt and matched against open invoices in Subledger. A variance (reconciling item) occurs in this area when the treasury function records a cash receipt without informing IAC or does not make an entry while IAC has made a clearing entry based on treasury input or makes an entry for a different value. (Note: Cash in transit is not part of the KI measurements but is tracked within reconciliation process)

IMPORT/EXPORT FLOAT ANALYSIS - Intercompany float is the difference between the net payable of the importer and the net receivable of the exporter activity between countries for goods and services. (Note: Primary responsibility for float resides with Consolidation accounting).

INTERCOMPANY ACCOUNTING AUDIT PROGRAM #10-30-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Intercompany Agreements

Objective:

To ensure ICAs and ICA bypasses are being processed in accordance IBM guidelines.

Risk/Exposure:

Possibility that revenues and costs are not recorded in accordance with GAAP. Where charges are processed without prior ICA sign-off there is a risk that countries will be charged for activities and costs that they have not agreed to.

INTERCOMPANY ACCOUNTING

AUDIT PROGRAM #10-30-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Intercompany Agreements

Primary Test: Processing Charges Against Intercompany Agreements (IA001.P)

Objective:

To ensure that ICAs and ICA bypasses are being processed in accordance IBM guidelines.

Approach:

Check to ensure that ICAs exist where required. Is an ICA in place prior to the processing of charges? Can charges be processed without an ICA? If so, who can do this, is there a management approval, is the reason for ICA bypass documented.

Review the controls for permitting incomplete ICAs to be processed at year-end processing. Check for approvals to ensure invalid data is not processed. (Note: N/A as ICA is now automated via system, same for services billings)

Review the exception handling process. Are variances identified reported and reviewed?

Check that ICAs which have been overspent have received the appropriate sign-offs.

Review the ICAs to ensure that they have specific or detailed description on the goods and services that are being performed. Verify the descriptions comply with local country regulations. Check with the local tax team that descriptions are detailed enough to support inquiries by the tax authorities. (Note: This is in scope of ICA originators. ICA is not originated by Intercompany accounting.)

INTERCOMPANY ACCOUNTING

AUDIT PROGRAM #10-30-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Intercompany Agreements

Primary Test: Settlement of Intercompany Charges (IA002.P)

Objective:

To ensure settlement of Interco charges are executed accurately, in accordance with management authorizations, IBM policies, CHQ guidelines.

Approach:

- Ensure Intercompany payment notification procedures are in place to provide accountability for payments to and receipts from IBM affiliate companies.
- Ensure that separation of duties was appropriate in the areas of authorizations and movement of funds for settlement of Interco charges.
- Review local regulations regarding the netting of Intercompany debts and ensure that country procedures comply with local regulations. (In some countries this practice is forbidden for tax, currency exchange and legal reasons).
- Review settlements of charges for goods/services to determine whether:
 - Calculations of the net balance due/receivable were accurate and properly documented. (Note: No manual calculation performed, invoices are put via system on payment proposal.)
 - Payments were accurate and they were made on due date with the proper approvals.
 - Transfers were made to the valid bank account established in the corporate database for Intercompany payments. (Also, could be looked at in Treasury audits. Review prior audits to avoid duplication of work) (Note: Bank accounts are determined by Treasury Operation not Intercompany accounting).
 - Transfers outside the netting system were promptly advised to the receiving location and confirmation of receipts were provided according to CHQ guidelines.
 - Settlements made beyond the normal due date and/or in other than the currency of the country shipping the goods/services were approved within the delegated authority. (Note: Intercompany accounting does not determine currency to be used for payments).
 - Payments of charges for services were supported by an ICA where required.

INTERCOMPANY ACCOUNTING AUDIT PROGRAM #10-30-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Intercompany Agreements

Primary Test: Intercompany Agreement Controls (IA003.P)

Objective:

To ensure that ICAs and ICA bypasses are being processed in accordance IBM guidelines.

Approach:

When testing use web page <https://w3.ibm.com/w3publisher/ica-bratislava>

Refer to intercompany process bulletins for ICAs

<https://ibm.box.com/v/intercompanyprocessbulletins>

INTERCOMPANY ACCOUNTING

AUDIT PROGRAM #10-30-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 5. Intercompany Float

Objective:

To determine if Intercompany float is measured accurately and reviewed by management. Root cause analysis of recurring conditions should be evident to assure efficient run between the net payable activity, and the net receivable activity between two countries for goods and services.

Risk/Exposure:

Materially high float levels distort a country's financial statements and the corporations on consolidation. Deficiencies in float monitoring and incomplete root cause analysis could result in the recurrence of conditions creating float and cause unnecessary workload.

INTERCOMPANY ACCOUNTING

AUDIT PROGRAM #10-30-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 5. Intercompany Float

Primary Test: Intercompany Float (IF001.P)

Objective:

To determine if Intercompany float is measured accurately and reviewed by management. Root cause analysis of recurring conditions should be evident to assure efficient running of the process. Intercompany float is the difference between the net payable activity, and the net receivable activity between two countries for goods and services.

Approach:

Obtain copies of management reporting indicating the level of float and test to determine its accuracy.

Identify and review the process in place to reduce float to a workable minimum.

Identify causes of Intercompany float and follow root cause analysis performed to determine if recurring conditions are resolved.

(Note: Primary responsibility for float resides with Consolidation accounting).

INTERCOMPANY ACCOUNTING

AUDIT PROGRAM #10-30-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 6. Separation of Duties (SOD)

Objective:

Ensure that a separation of duties assessment is performed and approved by the process owner, Center Leader, or delegate annually, or more frequently as necessary. Validate that identified separation of duties conflicts are eliminated, mitigated, or accepted based on risk severity. Ensure that conflicting tasks which should be separated, but are not, have effective secondary controls in place.

Risk/Exposure:

Failure to maintain adequate separation of duties could allow individuals to manipulate accounting records and mask any irregularities from other systems which feed the ledger.

INTERCOMPANY ACCOUNTING AUDIT PROGRAM #10-30-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 6. Separation of Duties (SOD)

Primary Test: Separation of Duties (SD001.P)

Objective:

Ensure that a separation of duties assessment is performed and approved by the process owner, Center Leader, or delegate annually, or more frequently as necessary. Validate that identified separation of duties conflicts are eliminated, mitigated or accepted based on risk severity. Ensure that conflicting tasks which should be separated, but are not, have effective secondary controls in place.

Approach:

Request an assessment of tasks executed by roles within Accounting. If no assessment exists, determine whether management has alternative methods of identifying potential separation of duties conflicts.

Review the SOD Assessment to validate the following:

1. Was the end-to-end process reviewed at least annually and at the appropriate level? Were the results documented and approved by the process owner, Center Leader or delegate?
2. Were tasks assessed to identify conflicts in the SOD Matrix and were identified conflicts explained?
3. If secondary controls are needed, were they identified and would they mitigate the conflict effectively?
4. Were conflict mitigation steps executed as outlined on the SOD assessment?

Review the responsibilities assigned in the areas of accounting for possible separation of duties exposures. Determine if:

- A SOD analysis exists for each role to identify any potential conflicts and implemented secondary controls are appropriate.
- Revised departmental process and revised departmental mission are timely reflected in the SOD analysis.
- The requirement is for the SOD to be updated annually.
- Assess if any role changes that aren't included in the SOD, cause any conflicts.

Individuals who can perform activities which combine custody (possession or guardianship over assets), recording (creation of permanent transaction record), authorization (transaction or document approval) and verification (verification of the accuracy & completeness of transactions) are identified as potential conflicts and secondary controls are implemented to mitigate the respective exposure.

Include in the review any update authority to systems, system tables or data. No individual should have the capability to approve and enter the same journal entry. Any individual with capabilities which would allow them to circumvent preventive and detective controls in the processes should be identified and included in test samples.

References:

[financebc - CI FIN 182 Appendix C](#)